



25-28%

THE REVENUE CONTRIBUTION OF HYPERPURE, A PLATFORM TO ASSIST RESTAURANTS IN FOOD AND NON-FOOD PURCHASES

\$5-6

BILLION: THE SIZE OF THE QUICK COMMERCE MARKET

\$40

BILLION THE LIKELY SIZE BY 2030



es things. "Important divisions like Blinkit or Hyperpure are run by the original founders and professionals," says Joseph. There is a view that the growth rate of food delivery may not get past 20%, so there should be a lot of thrust on quick commerce, he says. "On quick commerce, they recently said that they plan to add another 1,000 dark stores by the end of this year, making it clear that it will be the revenue growth driver. Rapid expansion requires capital and that may impact profitability in the near term," says Joseph.

THE B2C GAME

Zomato has decided to go all out to get a healthy share of consumer spending. That is the driving force behind its large suite of offerings. This calls for flawless execution and a lot of patience.

An instance is its foray into live entertainment, a segment that is still at a nascent stage in India. Last December, it launched District, an app to enhance the 'going-out' experience. It combines dining services with offerings like movies, sports events and live performances. With food delivery and quick commerce, this will get Zomato deeper into the consumer space. Importantly, it was announced a month after the ₹2,048 crore purchase of Paytm's entertainment and ticketing business. "Yes, live entertainment is not that big today and there are issues such as (serving) F&B in the stadium or internet speeds there or just having to deal with the traffic. It's a multi-stakeholder game that can help this sector grow," says Goyal. To him, it will be another three-five years before the segment reaches a critical point. "Let's see whether we are able to get there but it is an important part of our business," he adds.

That said, those tracking the sector are not taking their eyes off the quick commerce story. A report on

Zomato by HDFC Securities in February says "the safest way to play this high-execution space is via the leader, Blinkit." It goes on to outline the difficulty of making money in the low entry barrier business. The report points out Blinkit is the market leader with 302 stores averaging gross order value of 1.5 million or 5x that of DMart. A big cushion is the primary food delivery business that saw frenzied activity between FY15-18, followed by industry consolidation and investments of \$7 billion, now in a duopoly situation—Zomato is the leader followed by Swiggy.

Throughout his years as an entrepreneur, Goyal has always had a liking for exciting ideas. Recently, he decided to invest \$20 million in aviation start-up LAT Aerospace, run by Surobhi Das, Zomato's former COO. Media reports say the company will work on low-cost short take-off and landing aircraft with up to 24 seats to improve regional air connectivity. "She came up with the idea five years ago. It's fun, exciting and audacious. It's very large and let's see where it goes," says Goyal.

In September 2023, Goyal's book, *Culture at Zomato: How to Rewire Your Brain for Greatness*, was released. "We don't appreciate politics, we don't have hierarchy, we don't have performance appraisals at regular cycles. For a large part of the organisation, we don't use titles internally at all. So, we are very much about output and the quality of work and nothing else," he says. Goyal has come back from a difficult situation and is hungry for more success. With a strong customer focus, it continues to look for interesting pockets of growth. Without a doubt, this is an action-packed phase for Zomato. **BT**

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